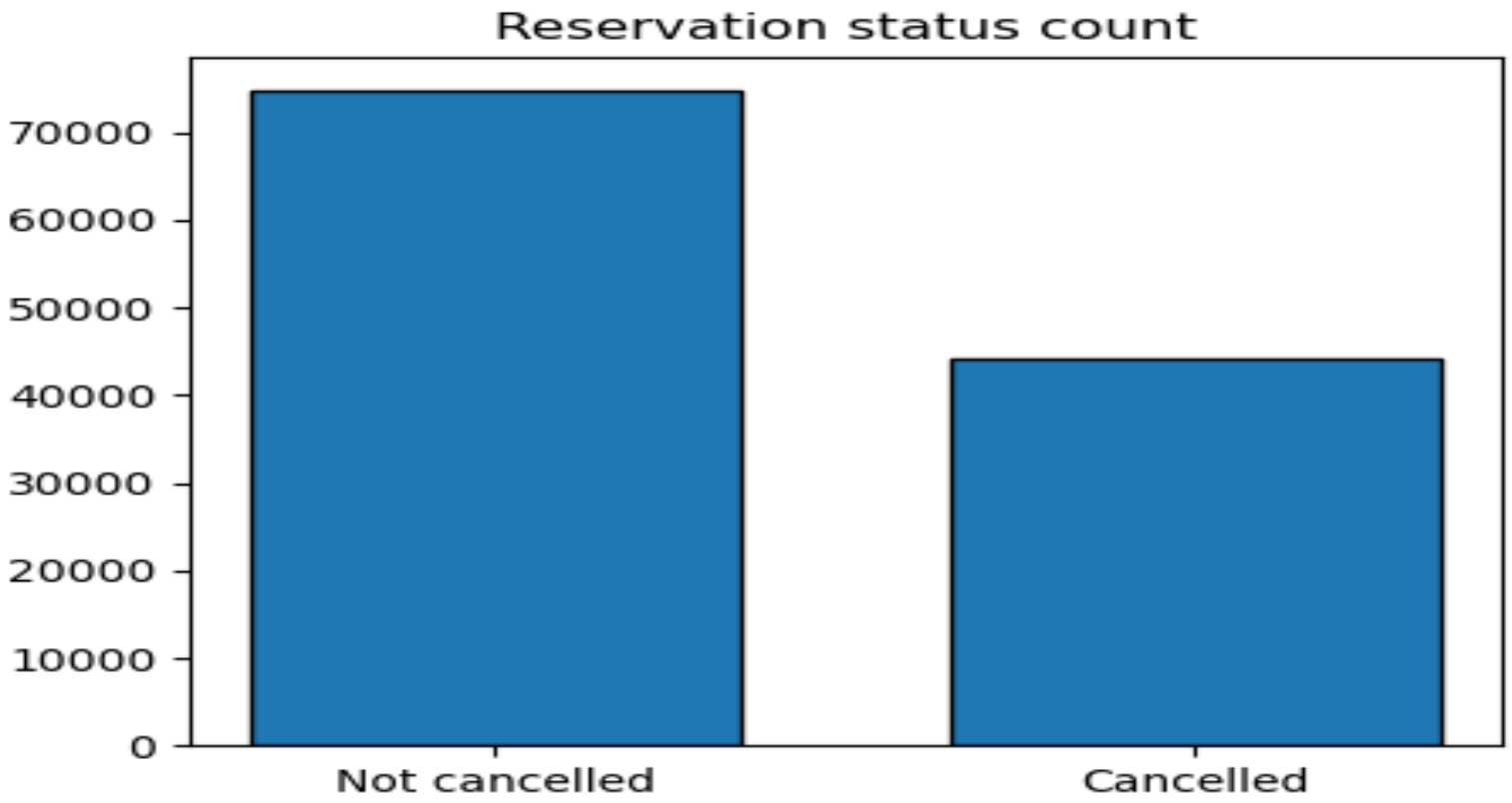
Hotel Booking Analysis

Hypothesis:

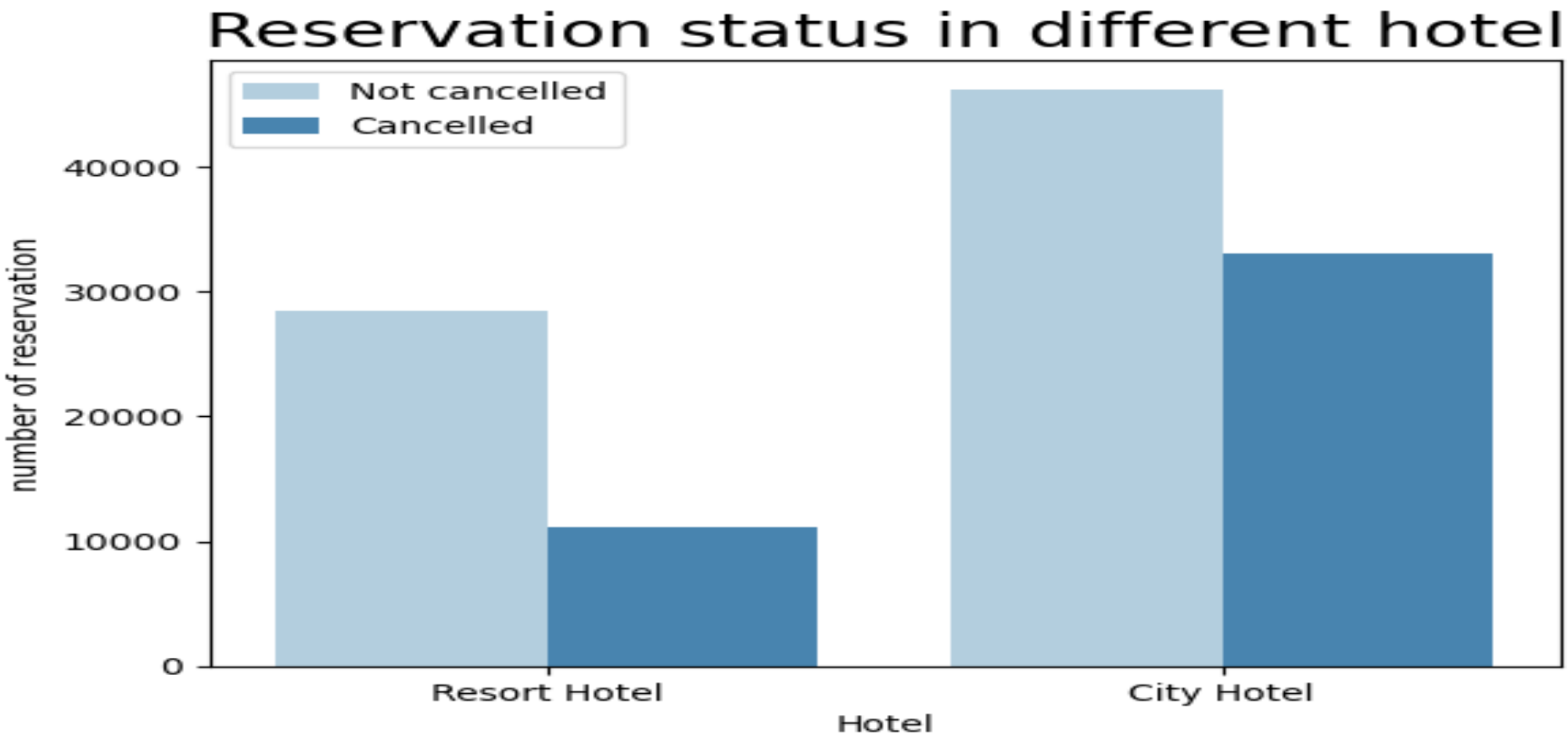
1. More Cancellations occurs when prices are higher.
2. When there is a longer waiting list, customers tend to cancel more frequently.
3. The majority of clients are coming from offline travel agent to make their reservations.

The accompanying bar graph shows the percentage of reservation that are cancelled and those thar are not. It is obvious that there are still a significant number of reservation that have not be cancelled. There are still 37% of clients who cancelled their reservation, which has a significant impact on the hotel's earnings.

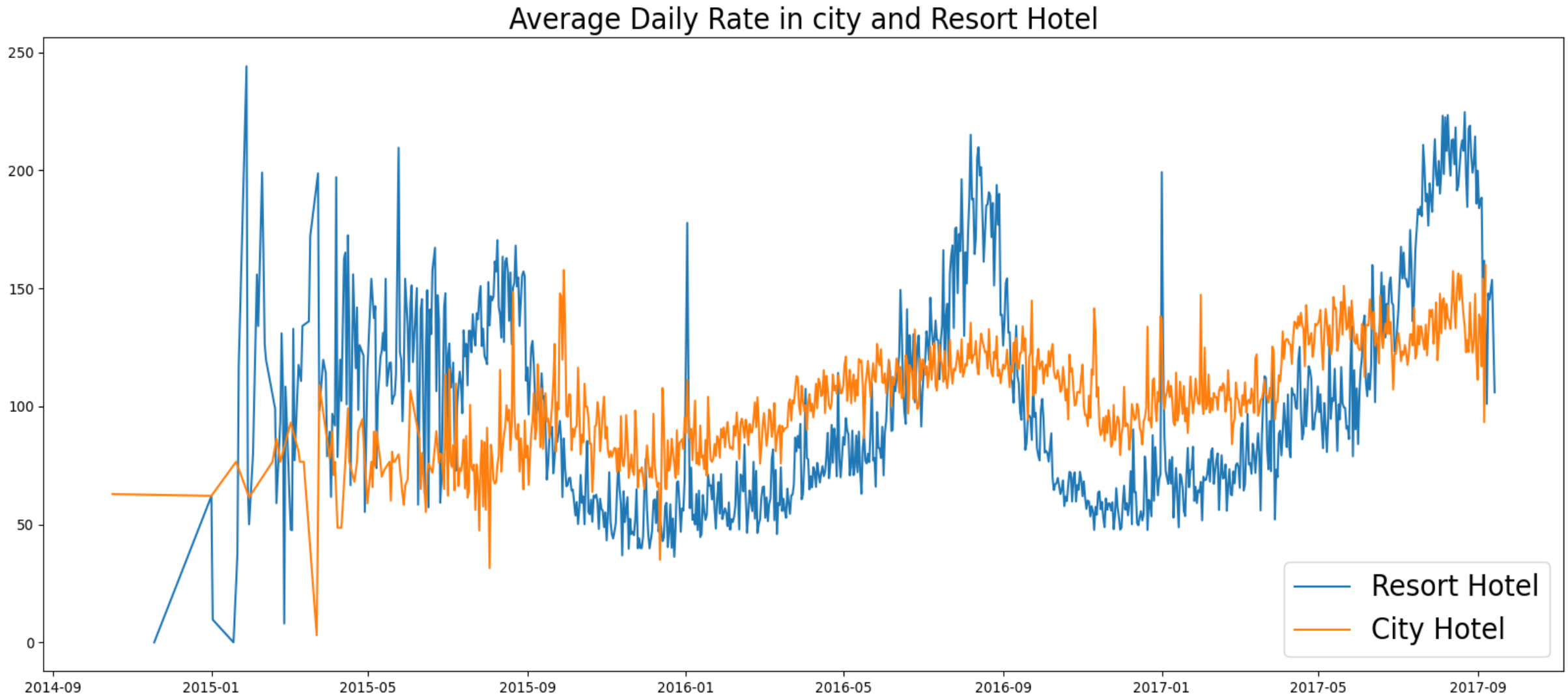
Analysis And Findings



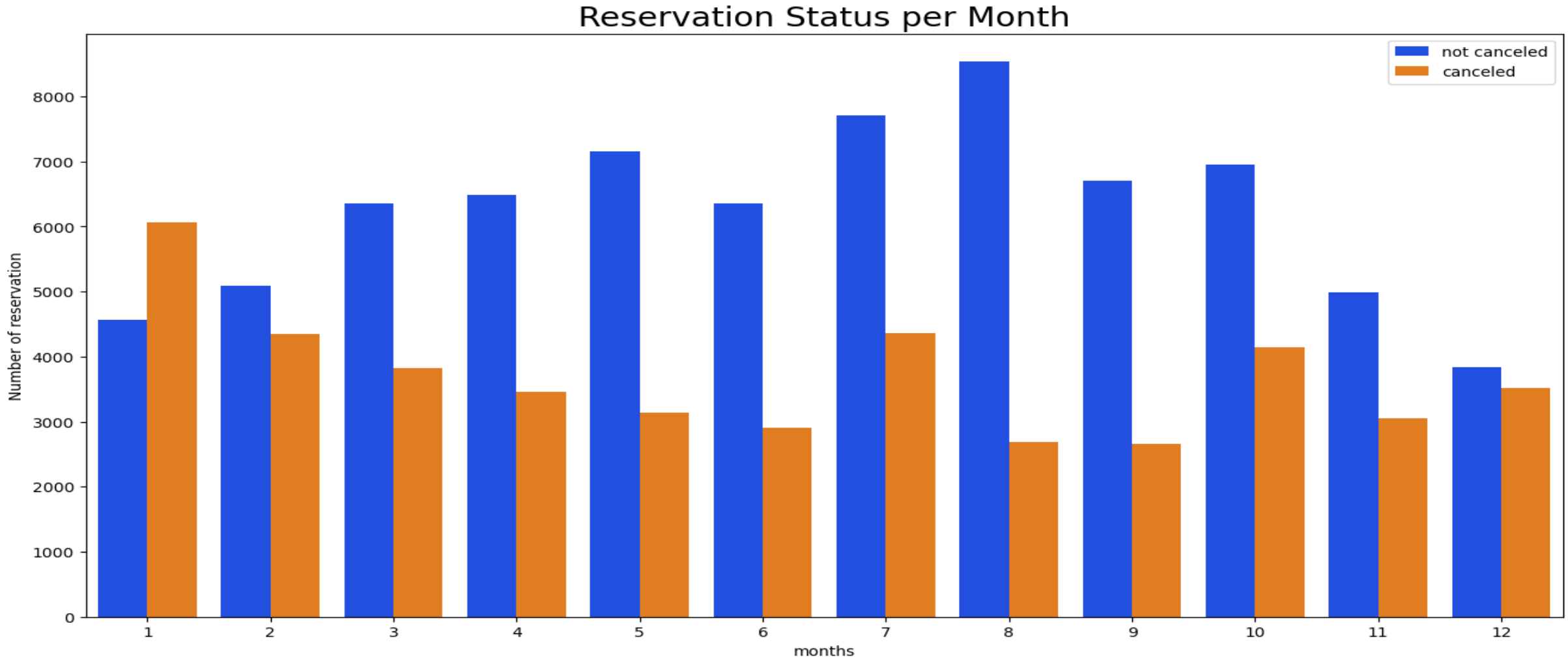
In comparison to resort hotel, city hotel have more booking, It is possible that reports hotels are more expensive than those cities.



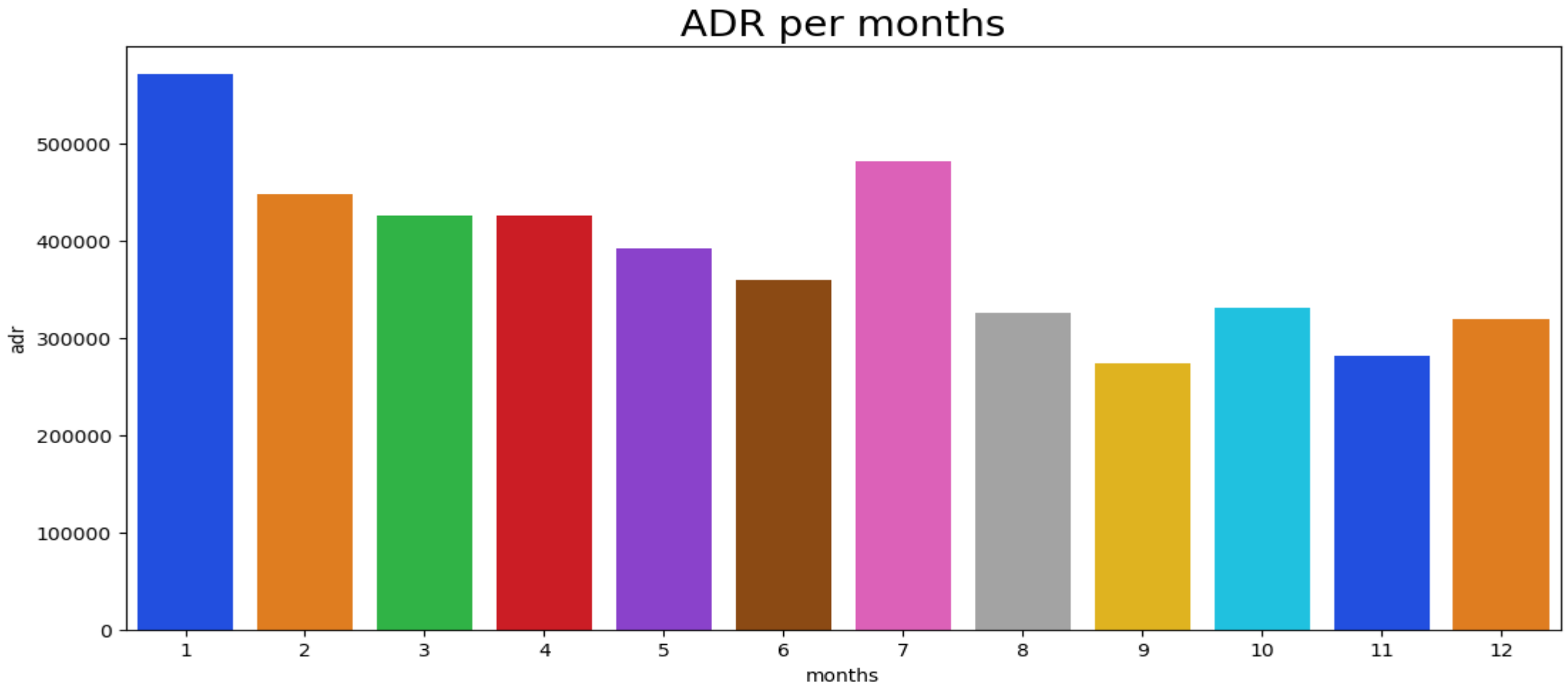
The line graph above show that, on certain days, the average daily rate for a city hotel is less than that of a resort hotel, and on other days, it is even less. It goes without saying that weekends and holidays may see a rise in resort hotel rates.



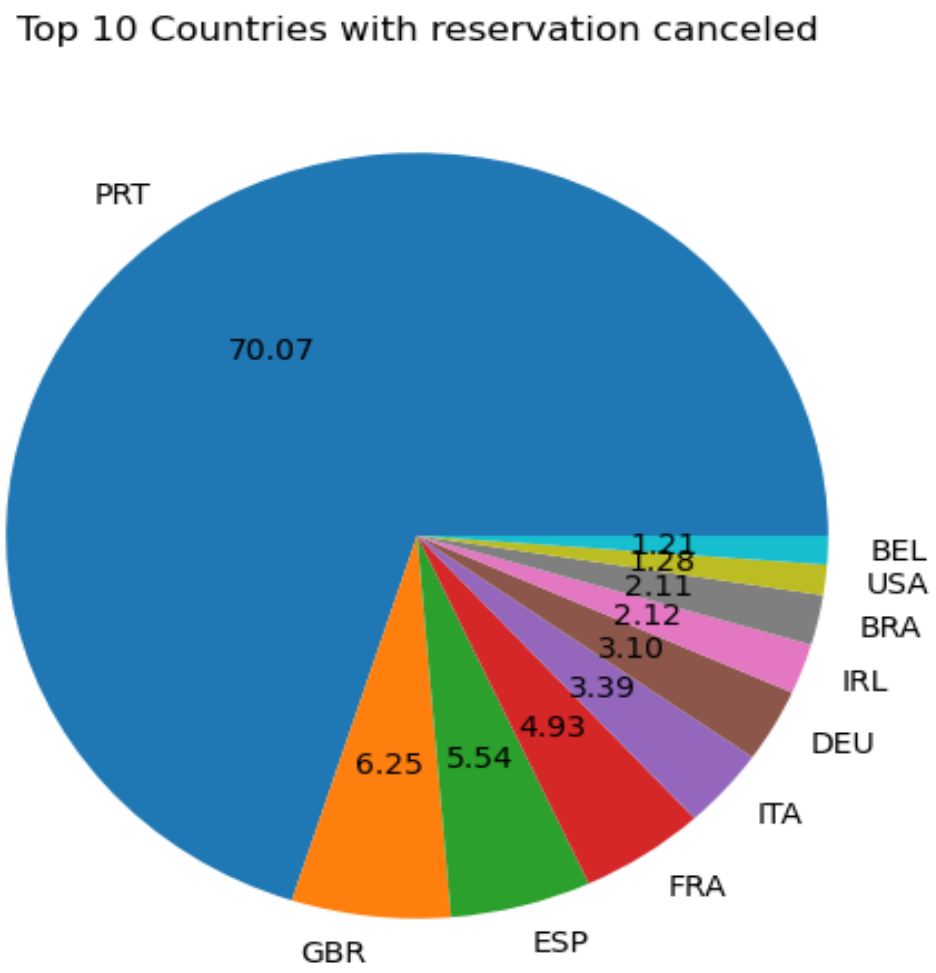
We have developed that grouped bar graph to analyze the months with the highest and lowest reservation levels according to reservation status. As can be seen both the number of confirmed reservations and number of cancelled reservations are largest in month of August. Where January is the month with the most cancelled reservations.



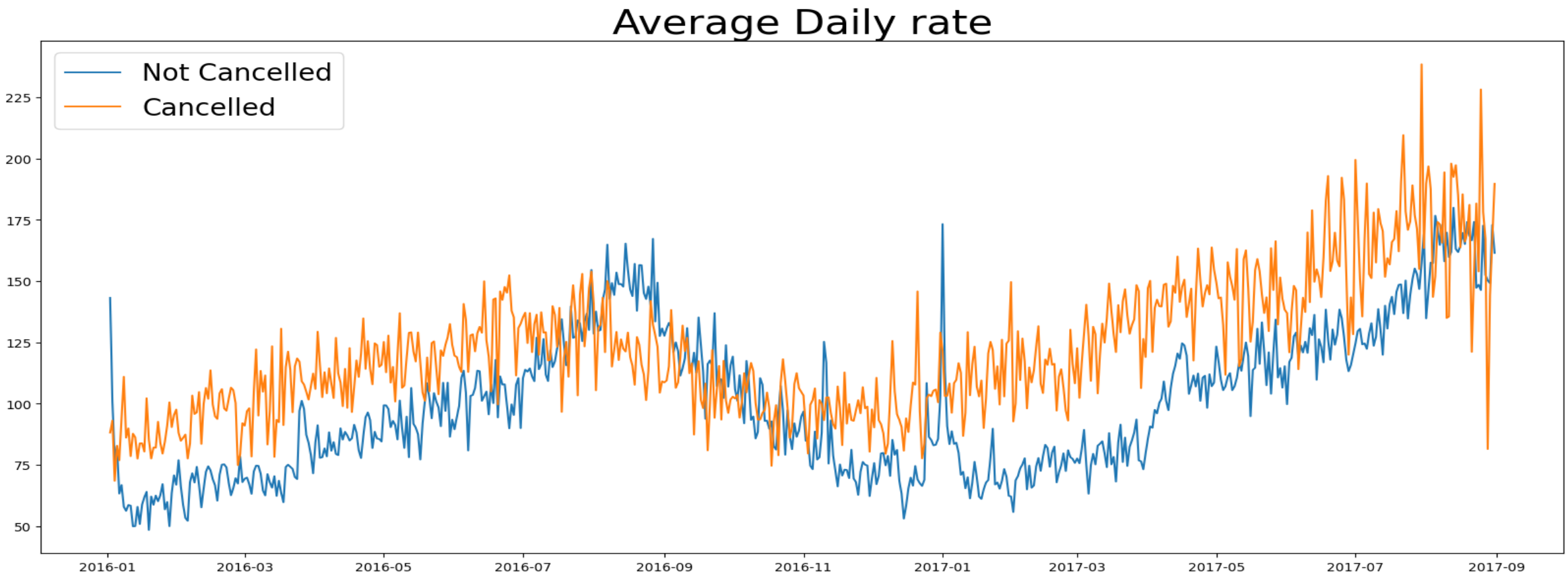
This bar graph demonstrates that cancellation are most common when prices are greatest and are the least common when they are lowest. Therefore, the cost of the accommodation is solely responsible for the cancellation.



Now Let’s see which country has the highest reservation cancelled. The top country is Portugal with the highest number of cancellations.



Let’s check the area from where guests are visiting the hotels and making reservations. Is it coming from direct or Groups, Online or Offline travel agents? Around 46% of the client come from online travel agencies, where 27% come from groups. Only 4% clients book hotels directly by visiting them and making reservations.



As seen in graph, reservation are cancelled when the average daily rate is higher then when it is not cancelled.it clearly proves all the above analysis, that the higher price leads to higher cancellations.

Suggestions

1. Cancellation rates rise as the price does. In order to prevent cancellation of reservations, hotel could work on their prices strategies and try to lower the rate foe specific hotel based on locations. They can also provide some discount to the consumers.

2.As the ratio of cancellation and not cancellation of the resort hotel is higher in the resort hotel than the city hotels. So the hotel should provide a reasonable discount on the room price on the weekend and on the holidays.

3.In the month of January, hotels can starts campaigns or marketing with a reasonable amount to increase their revenue as the cancellations is the highest in this month.

4.They can also increase the quality of their hotels and their services mainly in Portugal to reduce the cancellation rate.